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People respond to incentives

Humans optimize

In 1902 in Hanoi, under French rule, there was a rat problem. A bounty was set—one cent per rat—which could be claimed by submitting a rat's tail to the municipal office. But for each individual who caught a rat, it was optimal to amputate the tail of a rat, and set the rat free, so as to bolster the rat population and make it easier to catch rats in the future. In addition, on the outskirts of Hanoi, farms came up, dedicated to breeding rats. In 1906, there was an outbreak of bubonic plague that killed over 250 people. [1]

Sometimes we think that people are stupid, or that people are hidebound in following traditional behaviour patterns. Economists have found, in field after field, that people are not wood, they are not stones. People think intelligently about their own self-interest and change their behaviour in response to changed incentives.

This is also the reason why simple laws have not been found in economics. The difference between economics and astronomy is that when Jupiter goes around the sun, he is not a sentient being pursuing some objective.

This has far-reaching implications for policy thinking. It is dangerous to look at the world, come up with a design of an intervention, and hope that it will have a narrow impact as expected.

Some Chinese universities mandated a fitness requirement measured through steps as counted on the mobile phone. A business sprang up, of